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Money and documentary payments in domestic commercial transactions

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ understand the legal nature of a payment in English commercial law
- ✓ identify whether or not a payment obligation has been discharged
- ✓ appreciate the various payment methods recognized in English commercial law
- ✓ understand the legal character of money as a payment method
- ✓ know the various types of money that may be utilized to discharge a payment
- ✓ understand the legal character of documentary payments, particularly bills of exchange
- ✓ appreciate the contractual and property law elements of payment methods

1. INTRODUCTION

In Chapters 10–13 of this book, we established the importance of finance to commercial life and endeavoured to identify how commercial parties may procure the desired finance or capital for their commercial operations, as well as some key legal implications of the particular financing methods. In this chapter, we are purely concerned with how parties may use the finance raised to pay their counterparty in order to discharge an obligation. Such payment is crucial to the flow of commercial life, not least because it enables the counterparty to conduct their business and avoid precipitate insolvency. Of course, for the payer, it precludes default of the payment obligation and, therefore, the initiation of enforcement actions (including insolvency proceedings) by the counterparty against the person or assets of the payer. Our main discussion commences with an examination of the legal nature of a payment obligation. In that context, we will highlight the parties involved in a payment transaction, as well as how and when the payment obligation is discharged. We then explore two key forms of payment in English commercial law – money and documentary payments (particularly bills of exchange). We will see that there are various forms of money and documents that may represent the discharge of a payment obligation. These forms of payment have legal characteristics that facilitate the discharge of a payment obligation as well as the free flow of commerce by easily circulating in currency and enabling a transfer to another person other than the payee.

What follows next, however, is a useful but cursory discussion of some key terminology in methods of payment.

2. BASIC TERMINOLOGY IN PAYMENT TRANSACTIONS

We begin this segment with the concept of **documentary payments**, since you will be familiar with the ordinary notion of money (although we will return to the legal nature in the next section of this chapter). These are legal documents that are accepted in partial or full discharge of a payment obligation. The classical example of such a document is a **negotiable instrument** such as a **cheque** (which is a **Bill of Exchange**. For the definition of bills of exchange, see our discussion of s.3 of the Bills of Exchange Act 1882 later in this chapter). A document or instrument that is **negotiable** is transferable by delivery alone or by delivery and indorsement (signing on the back of the document): s.31 of the Bills of Exchange Act 1882. The *negotiation* or transfer of the document in that manner is sufficient to pass title of the document or instrument to a transferee without any further legal requirement such as registration or giving notice.

The key essence of negotiability, however, is that it constitutes a further exception to the property law rule of ***Nemo dat quod non habet*** (no one gives what s/he does not have). The commercial implication of this exception is that when the transferee takes the instrument in exchange for valuable consideration, in good faith, and without notice of conflicting title claims or defences, the transferee's title is not affected by any defects in the title of the transferor. We commonly say that such a transferee is a ***bona fide purchaser for value without notice*** or **equity's darling**. This transferee may be described as a **holder in due course** pursuant to s.29 of the Bills of Exchange Act 1882. Thus, while an instrument may be transferable, it may not be negotiable. See the effect of crossing cheques in s.81 of the Bills of Exchange Act 1882.

The concept of documentary payments also requires you to appreciate the notion of **documentary intangibles**. These are physical property that carries intangible property rights or obligations. Put differently, the intangible rights are equated to the physical document in which they are embodied. Again, the usual examples are documentary payments or negotiable instruments such as bills of exchange or promissory notes. Other documents that carry intangible rights are simple transferable documents such as bearer shares. Commercially, the party relying upon such document is able to seek legal redress for either one or both of the physical property and the associated intangible right. For example, they may be able to maintain an action in conversion for unlawful interference with the physical property and, if possible, sue to recover a debt obligation represented by the document. If all this sounds familiar, you may find it useful to contrast this discussion with the discussion on the nature of the subject matter in sale of goods and bailment transactions earlier in this book.

A further useful concept to highlight is the notion of a **thing in action**. Sometimes described with the French moniker 'chose in action', this means a right in property that can only be claimed or enforced by action and not by taking physical possession: *Torkington v. Magee* [1902] 2 KB 430. It is therefore a personal right in property. Thus, it generally refers to intangible property such as a debt owed by another person, shares in a company or a legal claim. The concept denotes a thing that a person owns but another person possesses, of which the owner may be able to regain a form of possession through a lawsuit. You will see that some of the payment methods discussed in this chapter have the character of a thing

in action. That said, from our earlier discussion of documentary intangibles, it is apparent that some payment methods also have the character of a thing or **chose in possession** – a bundle of rights in tangible property that is capable of physical possession and, therefore, transferable by delivery.

Our next jargon buster is the term **fungible**. A property is fungible where it is commercially interchangeable with other property of the same kind. In payment terms, you will see that certain payment methods such as physical money are fungible, for if A loans B £10, B can discharge the obligation (repayment of the debt) by giving A another £10 note or other notes/coins amounting to £10. The substitute but substantively identical chattel constitutes valid performance of the obligation. A does not need to satisfy the payment obligation to B with the same £10 note it received from B. Commercially, it would often be impossible for A to so do. Thus, fungibility is a valuable construct in commercial transactions.

☞ **Some payment methods in commercial law, such as physical money and bills of exchange, are described as 'documentary intangibles' because they are physical property that embodies intangible rights.**

2.1 Essentials of Payments in Law

So what constitutes a valid payment in law? The first point is that a payment transaction is primarily between the party responsible for making a payment (the '**payer**', who may also be described as a debtor or, if using a bill of exchange, a 'drawer') and the party to whom the payment obligation is owed (the '**payee**' or 'creditor'). While many payment transactions will be bilateral, the use of payment methods such as bills of exchange may create a three-sided or triangular relationship with the addition of a '**drawee**' – the person or organization, typically a bank, who receives the instruction from the payer/drawer of the bill to make a payment to the payee and must pay the bill: see again s.3 of the Bills of Exchange Act 1882.

The second point is to appreciate what constitutes a 'payment' in law. When talking about a payment, some of you are probably more familiar with excessive routine contactless payments at the local chippy than with the actual transfer of thousands of pounds sterling to discharge university tuition fees. While it is crucial to understand the conceptual nature of varied forms of payment, of equal importance is the fact that the legal character of a payment itself could determine the success or otherwise of legal claims to payments. Put differently, the nature of payment has a bearing on (a) the nature of obligation on the payer; and (b) the right of the payee to pursue certain remedies in the event of breach of the obligation, including a personal action to recover the debt, forfeiture of a lease or the appointment of a receiver under a loan agreement secured by a charge.

By 'payment', we mean the performance or discharge of a *money* obligation. We have seen in this book that a contract of sale of goods will give rise to such obligation, which the buyer is bound to discharge by paying the price of the goods sold: see ss.2(1) and 28 of the Sale of Goods Act 1979. Thus, a contract of barter will not normally give rise to a payment obligation since it is merely based on a promise to exchange goods or services for other goods or services without using money. The important point to note here is that payment is required to satisfy

the performance of an obligation that is expressed in money terms. Thus, you should be alive to the fact that loan agreements, judgment awards, contracts of employments, agency, banking services and provision of services are among other examples that give rise to a payment obligation.

The third point is to appreciate the identity of who needs to make the payment. Ostensibly, for a payment to be effective in law, it must be made by the payer/debtor (that is, the person who owes the money obligation). A valid payment may also be made by a person having authority to make the payment on behalf of the payer, such as the payer's agent. What if the payment is made by a person who does not fall within the aforementioned categories? In law, it is accepted that a payer/debtor is at liberty to ratify an unauthorized payment by accepting the benefit of such payment. A classic example of this will be seen in the case of *Owen v. Tate* [1976] QB 402. Here, the defendant (D) borrowed £350 from the bank, the security being the title deeds of property owned by Miss Lightfoot. The plaintiff (P), who was not in any way concerned in that transaction, offered to get the title deeds back for Miss Lightfoot; without D's knowledge he deposited £350 with the bank and signed a guarantee in favour of D for that sum. The bank accordingly released the deeds. The bank called in the debt. D invited the bank to have recourse to P, and the bank applied P's £350 towards payment of the debt. P sought reimbursement of the sum from D. It was held that P had acted without D's knowledge or invitation. There was nothing in the circumstances to make it just and reasonable to reimburse P, and he had no right to indemnity from D. P was a *volunteer* and had only assumed the obligation of a guarantor for the benefit of Miss Lightfoot.

The fourth point is that the payment must also be accepted by the payee/creditor (although the acceptance need not be communicated provided the payment is unconditionally at the creditor's disposal and the creditor's conduct amounts, objectively construed, to acceptance): see, generally, *TSB Bank of Scotland Plc v. Welwyn Hatfield DC* (1993) 2 Bank LR 267 (QB) 272. Much of what constitutes a valid payment is premised on contractual construction. Indeed, where the parties have agreed to use a particular method of payment, payment by a different method may not be accepted as payment by the payee/creditor. Where the parties have not agreed on a method of payment, then it is the payee/creditor who must determine whether to accept the particular mode of payment utilized by the payer/debtor. On this point, it is important to appreciate an underlying legal implication of your use of credit or charge cards that may be issued by companies to facilitate payments to businesses selling goods or offering services. Where a payee accepts such form of payment, provided the payer has sufficient funds in their account with the card issuer, the parties are inevitably relying on a third party – the issuer – to honour the payment obligation in favour of the payee. There is a commercial risk that the third party may default. Despite this risk, there is no general principle of law that a method of payment involving risk of non-payment by a third party creates a presumption that acceptance of that method constitutes conditional payment only. See *Re Charge Card Services Ltd (No 2)* [1989] Ch 497 (CA).

Finally on the point of acceptance by the payee/creditor, you should be aware of the distinction between *legal tender* and tender generally. What we have just discussed, essentially, is that a valid *tender* is one that the parties have agreed to or that the payee/creditor accepts. However, a valid tender is not necessarily legal tender. Legal tender has a very narrow

meaning in the settlement of debts. It denotes that a payer/debtor cannot successfully be sued for non-payment if s/he pays into court in legal tender (payment into court is useful where there is a dispute between the parties as to the existence, amount or discharge of the debt). Section 2 of the Coinage Act 1971 sets out the following as legal tender by specifying the maximum amount that can be discharged with existing currency:

- £100 (Scotland) – for any amount
- £50 – for any amount
- £20 – for any amount
- £5 (Crown) – for any amount
- £2 – for any amount
- £1 – for any amount
- 50p – for any amount not exceeding £10
- 25p (Crown) – for any amount not exceeding £10
- 20p – for any amount not exceeding £10
- 10p – for any amount not exceeding £5
- 5p – for any amount not exceeding £5
- 2p – for any amount not exceeding 20p
- 1p – for any amount not exceeding 20p

Parties are free in their transactions to use tender that does not comply with this. Indeed, the court has expressed the view that in modern commercial transactions,

> no sensible businessman would expect a debtor owing millions of euros (or for that matter any other currency) to turn up with a briefcase full of gold coins or banknotes in order to pay the debt. That would be highly inconvenient in modern conditions and might even raise suspicions of money laundering when the creditor attempted to pay the money into his bank account.

See *St Vincent European General Partner Ltd v. Robinson* [2018] EWHC 1230 (Comm) at [61], per Males J.

Students will find a comprehensive treatment of the nature of payment obligations in commercial transactions in V Dixon (ed), *Goode on Payment Obligations in Commercial and Financial Transactions* (4th edn, Sweet & Maxwell 2020).

There is no general principle of law that a method of payment involving risk of non-payment by a third party creates a presumption that acceptance of that method constitutes conditional payment only.

2.2 Miscellaneous Payment Methods

We conclude this section by highlighting the fact that English commercial law recognizes other methods of payment in addition to money and documentary payments. While these

other payment methods are not the focus of our discussions, they are worth noting, as you will sometimes see in the literature or in practice that these other payment methods may be used in conjunction with money or documentary payments. These include the following:

1. *Part Exchange*: This is a form of payment where the parties agree that the contracted money obligation will be satisfied by the payer offering money or documentary payment and goods. A common example is to be found in the motor industry. Let us say A wants to buy a Tesla model S from B for the sum of £80,000. If the parties agree, A can offer his 2016 Range Rover Sport valued at £30,000 as well as £50,000 in physical money to satisfy the purchase price. Part exchange is characterized as payment because a money value is placed on the goods exchanged and is, to that extent, not barter. See generally *Aldridge v. Johnson* (1857) 7 E & B 885; *Dawson (GJ) (Clapham) Ltd v. Dutfield* [1936] 2 All ER 232 (KB).
2. *Novation*: This form of payment is based on contract. In the law of contract, a novation arises where one agreement is replaced by another agreement. Commercially, and in the context of paying for an obligation, novation is very valuable because it enables a loan agreement and the obligation to repay the loan to be discharged by replacing that original loan agreement with a new loan agreement. This is common practice for commercial banks. For example, if A owes £5,000 on a credit card with an annual interest of 10 per cent, it is not unusual for the bank that issued the credit card to restructure A's credit card debt by offering a fixed term loan of, say, £5,500, repayable over a period of five years at a lower interest rate than the credit card. This fixed term loan is then used to repay the credit card debt while A repays the new loan over the contracted period (typically with lower monthly instalments).

   For larger transactions or distressed businesses, it may not be unusual to see that the bank may try to take a security interest as further consideration for the new loan agreement. Where the security interest is a floating charge, it would be important to ensure that new commercial value is given to the debtor in exchange for the security (for example, a discharge or reduction of any debt at the same time as, or after, the creation of the charge), otherwise the charge runs the risk of being avoided as a floating charge for past value under s.245 of the Insolvency Act of 1986.
3. *Set-off*: Set-off is an arrangement whereby parties who owe each other money can aggregate the sums due to each other and set off those sums, leaving the balance due to be claimed either way. Broadly speaking, where two parties each owe each other a sum of money it makes commercial sense to simply allow them to strike a balance as to the amount owed. The operation of set-off allows a debtor to reduce or extinguish its payment obligation to the creditor. Say A owes B £10 and B owes A £5. The parties can set off the sums due to each other, meaning that A would only pay B £5. Key to the operation of set-off is usually mutuality, that is, mutuality between the parties in terms of monies being owed/due to/from the same persons (or their legal manifestations), and mutuality in terms of their dealings or rights, that is, their claims against each other must be for non-payment of money. See *Rolls Razor v. Cox* [1967] 1 All ER 397.

The law recognizes different forms of set-off. While a detailed discussion of set-off variants is outside the scope of our discussion, you should note that set-off could be: (a) contractual; (b) legal (statutory set-off); (c) equitable (transaction set-off), where the claims being set off are both contractual and so closely connected that it would be 'manifestly unjust' to enforce one without taking the other into account; (d) bank-driven (bankers' set-off); and (e) required in insolvency. Where set-off arises in insolvency, it is applied mandatorily and is self-executing: see rr.14.24–14.25 of the Insolvency (England and Wales) Rules 2016/1024. See also *Stein v. Blake* [1996] 1 AC 243.

✓ **You should now know the meaning of payment and some key terms in payment transactions. You should also be able to identify miscellaneous payment methods in addition to money and documentary payments**

3. STANDARD METHODS OF PAYMENT

3.1 Money

Money is one of the oldest methods of payment. The precise meaning of money may vary depending on the use to which it is put. For example, money could be used as a store of value or a measure of value/unit of account. It could also be used as a medium of exchange, which is the focus of our discussion. In this latter sense, money would include chattel (cash, that is, notes or coin) issued by the Bank of England and designated as legal tender. This type of money may also be described as physical or fiat money. The description of money in our context will also capture bank money or electronic money. This latter form of money is sometimes called intangible money. To summarize, money payments would typically take the form of cash/coin payment; electronic money payments, where the monetary value is sorted on a technical device; and transfer of funds in bank accounts (funds transfer). We will now briefly examine the legal and commercial nature of each form of money payment in turn.

3.1.1 Cash/Physical Money

While there has been a plethora of technological innovations in payment transactions over several decades, the use of cash in the form of central bank-issued notes or coins is still routine. We need to appreciate that the volume of payment transactions conducted in cash is not immune to these innovations. Further, the use of cash is not immune to macro-economic conditions: for example, the recent Covid-19 pandemic may have altered our use of cash in commercial transactions due to the impact of the pandemic on our spending power as well as the perceived risk of banknotes being a source of transmission of the Covid-19 virus. Nevertheless, cash continues to play a critical role in the UK economy, facilitating sale of goods, supply of services and other commercial transactions. Students may find this recent overview on the use of cash useful: www.bankofengland.co.uk/quarterly-bulletin/2020/2020-q4/cash-in-the-time-of-covid (last accessed 1 September 2021).

In law, cash has the following characteristics:

a. It is a chattel capable of physical possession and could form the basis of an action in conversion where there is unlawful interference with such possession.
The value of the chattel itself – the physical paper or coin – is different from the value it represents.
b. It is a thing or chose in possession. This means that title to it passes on delivery (documentary intangible). In other words, title to this money will pass where the holder delivers it to a person who gives value for it. This point is worth elaborating upon in light of our earlier distinction between a thing in action and a thing in possession. Let us use the example of A, who has a £10 note in his pocket and who is owed £5 by B. The £10 note in A's pocket is a chose in possession. The £5 debt owed to A by B is a chose in action that could entitle A to initiate legal action against B in the event of default.
c. It is not bought or exchanged; it may be borrowed, received as a gift or given in discharge of an obligation owed to the payee/creditor.
d. It is fully negotiable – title to physical money passes with delivery, even where the payer/debtor merely had possession not title, provided the payee/creditor received the money in good faith and for value. See *Miller v. Race* (1758) 1 Burr 452.
e. Physical money is fungible – where cash is loaned, it is repayable by an identical chattel without obligation to return the exact cash borrowed.
f. It is legal tender – see again s.2 of the Coinage Act 1971. This point may seem fairly obvious but it has implications in a dispute between the parties. It is accepted that a payment obligation is *prima facie* discharged by legal tender. Further, given that much of what constitutes a valid payment is tied to the parties' agreement, a contractual prescription of payment in cash should be adhered to unless a contrary intention appears from the conduct of the parties – for example, where the payee/creditor has previously accepted another method of payment. Ultimately, given the importance of acceptance by the payee/creditor, it is imperative that a payer/debtor whose payee/creditor refuses to accept payment pays the legal tender in court, which will serve as a defence to any action by the payee/creditor for non-performance.

Physical money is negotiable in the sense that once it passes into currency and is transferred to a bona fide purchaser for value without notice of any defects in the title of the transferor, the title of the transferee will not be impugned.

KEY CASE
***MILLER V. RACE* 97 E.R. 398, (1758) 1 BURR 452**

This was an action of trover (recovery of damages for wrongful taking of personal property) against the defendant in relation to a bank note in the amount of twenty-one pounds ten shillings. This bank note was out in the mail, which was robbed. The bank note subsequently came into the possession of the plaintiff, for a full and valuable consideration, and in the usual course and way of his business, and

without any notice or knowledge of this bank note having been taken out of the mail. The defendant, a clerk at the bank, having notice of the theft, refused either to pay the note or to re-deliver it to the plaintiff. The jury upheld a verdict for the plaintiff, subject to the opinion of this court on the following question: 'Whether under the circumstances of this case, the plaintiff had a sufficient property in this bank note, to entitle him to recover in the present action?'

The court held that bank notes, though stolen, are the property of the person to whom they are paid, without knowledge of the theft. Lord Mansfield stated that 'A bank-note is constantly and universally, both at home and abroad, treated as money, as cash; and paid and received, as cash; and it is necessary, for the purposes of commerce, that their currency should be established and secured'.

3.1.2 Electronic Money Payments

Electronic money or e-money is a broad term that captures money value that is stored electronically. Article 2(2) of Directive 2009/110/EC defines electronic money to mean 'electronically, including magnetically, stored monetary value as represented by a claim on the issuer which is issued on receipt of funds for the purpose of making payment transactions […], and which is accepted by a natural or legal person other than the electronic money issuer'. See also reg. 2 of the Electronic Money Regulations 2011 (SI 2011/99). In this broad sense, it captures all forms of intangible money that are backed by fiat or physical money and which may be stored in various ways, including in bank accounts and on technical devices. We may therefore also call electronic money 'bank money'. Payment by this form of money would take several forms, including transfer by paper orders such as cheques and electronic transfers, including through card payments or between bank accounts. What follows discusses payments by transferring money in bank accounts (funds transfer). Here, we are briefly concerned with electronic money payments stored on technical devices.

You will be very familiar with electronic money payments via technical devices as they have also been critical to the decline in the use of physical money due to the convenience of technology. Some electronic money is based on hardware products, where your purchasing power is tied to a personal physical device such as a chip card – for example, your Mastercard or Visa card. They may also be based on software products, which will require the user, via a personal electronic device, to establish an online connection with a remote server that controls the purchasing power – you may be familiar with making payments at the campus coffee hotspots using ApplePay, AndroidPay, SamsungPay or similar.

A number of critical points are worth noting here as to the nature of this method of payment. Given that the value of electronic money is backed by physical money, it is not a form of cryptocurrency like Bitcoin. Further, it is important to appreciate that that there are three parties involved in this payment transaction: the payer, the payee and the e-money issuer. The payment is not made to the e-money issuer; it is made to the payee and represents a claim on the e-money issuer. This point also reinforces the proposition that, as between the payer and the payee, there is no general principle of law that a method of payment involving risk of non-payment by a third party creates a presumption that acceptance of that method constitutes conditional payment only: see *Re Charge Card Services Ltd (No 2)* (*Supra*). Finally on e-money stored on technical devices, it is important to appreciate that the definition of

electronic money does not include monetary value stored on specific payment instruments that can be used only in a limited way – for example, one that only allows the holder to acquire goods or services in the issuer's premises (such as a store card) or one that may be used only to acquire a very limited range of goods or services. See reg. 3 of the Electronic Money Regulations 2011 (SI 2011/99).

3.1.3 Electronic Money Payments: Funds Transfer

This discussion relates to the transfer of electronic money from one bank account to another. Fund transfer is a popular method of effecting payments in commercial life. It is essentially a cashless/intangible payment system. Such payment involves adjustment of deposit balances in bank accounts held by the payer and payee respectively and a commensurate adjustment between the banks; the payment simply triggers an alteration in the books of account held by the parties' banks. In principle, the payer's bank acts as an agent of the payer for the purpose of effecting the payment instruction. This agency, however, is not based on the usual rules of agency; it is based on the terms of contract between the bank and the payer, including the terms of any funds transfer system utilized by banks: see *Tidal Energy Ltd v. Bank of Scotland Plc* [2014] EWCA Civ 1107. Funds transfer is particularly useful in high-value commercial transactions or where a number of regular payments need to be made to several persons (for example, payment of salaries is routinely done using this payment method; you will appreciate at this stage that a contract of employment will give rise to a payment obligation or debt due from the employer to the employee). Payment by funds transfer raises some crucial legal questions, including: (a) What is the nature of the relationship between the bank and the account holder? (b) What happens where the bank is unable to honour a payment request from the account holder? (c) When is a payment by transfer of funds between bank accounts completed? (d) What are the standard ways of effecting payment by funds transfer? We now deal with these questions in turn.

What is the precise nature of the relationship between a bank and the holder of the bank account (the bank–customer relationship)? The transfer of funds from the payer's account to the payee's account does not involve transfer of property owned by the payer to the payee. This is because, in strict legal terms, the relationship between a customer and the bank is contractual or personal, not proprietary. Thus, money paid into a bank account may be utilized by the bank as it sees fit provided it agrees to return the money on demand (or other set condition) by the customer. The money in the account is property of the bank. See, generally, *Foley v. Hill* (1848) 2 HLC 28 (HL). In *Foskett v. McKeown* [2001] 1 AC 102 (HL) 127, Lord Millet said as follows:

> We speak of money at the bank, and of money passing into and out of a bank account. But of course the account holder has no money at the bank. Money paid into a bank account belongs legally and beneficially to the bank and not to the account holder …

If the money in the bank account belongs to the bank, it is therefore the case that, without more, the bank does not hold the funds in the account on trust for the customer: see also *Zumax v. FCMB & Ors* [2019] EWCA Civ 294. So what does an account holder

own in this context? The bank account itself is a thing in action – a personal intangible property belonging to the customer. This entitles the customer to make a demand against the bank for payment of the monies or positive balance in the account, since it is a debt. Specifically, where the bank account is in credit, the customer has loaned money to the bank. Conversely, where the bank account is overdrawn, the overdraft balance is a loan from the bank to the customer, which is also debt that, typically, is also repayable by the customer on demand (you would not want a bank manager to wake up on the wrong side of the bed in this regard!).

The next question is this: *Due to the personal nature of the relationship between the bank and its customer in relation to monies, what happens if the bank is unable to repay the customer?* This may be the case where the bank has gone out of business – for example, where it has entered into formal insolvency proceedings. Our learnings on debt finance in Chapter 12 above and our discussions on insolvency in Chapter 15 below should help you to appreciate that the customer in this context is an unsecured creditor. The usual implication of their unsecured status in insolvency proceedings is that they will have little or no return on their debt due to the lack of assets available and the need to share those available assets collectively or *pari passu* with other creditors of the bank. Nevertheless, two devices may help the customer here. The first is the Financial Services Compensation Scheme, which automatically protects deposit amounts in bank accounts, currently up to a maximum of £85,000 per person, £170,000 in joint accounts and £1,000,000 for qualifying temporary high balances – the cover exists for six months from the time at which the amount was first deposited. The compensation limits may change from time to time. The second device is the *Quistclose trust*, which we discussed in Chapter 12. A trust over the monies in the account may arise in favour of the customer where the money is given to the bank for a particular purpose (other than in the ordinary course of ordinary banking activities) on the understanding that the bank is not free to apply the money for any other purpose. See again *Barclays Bank Ltd v. Quistclose Investments Ltd* [1970] AC 567; *Cf Zumax v. FCMB & Ors* (*Supra*). It is worth stating, however, that the existence of a trust is only beneficial to the customer where the failed or non-paying bank has assets that may be appropriated for this purpose.

The third question is: *When is a payment by funds transfer actually completed?* The simple response to this is that the efficacy of current banking practice requires that, as between the payer and the payee, such payment to a payee is effective once the payee is unconditionally accepted by the payee's bank as its creditor in respect of the amount transferred, that is, once the payee is able to demand payment from the payee's bank: *Tayeb v. HSBC* [2004] EWHC 1529 (Comm). Therefore, the fact that the payee's bank account has not been credited with the payment is immaterial. The timing of credit will depend on the type of payment system utilized. Further, it is also immaterial that there is a risk that the payee bank may not be paid by the payer's bank; the payee bank's unconditional acceptance (or acknowledgment to the payer's bank) of the transfer completes the payment and makes it liable to the payee for the amount transferred.

This is not to say that a payment instruction cannot be recalled by the payer. The payer may recall or cancel the funds transfer until the payment transaction is complete. However, the payer's ability to make such recall could be hindered by its contract with the bank,

which will include the rules of the payment system that the bank utilizes to carry out the payment instruction. Thus, a practical point for you is that, given that many banks utilize the bank account number and sort code of the payee as identifiers to carry out the payment instruction, the payer may not be able to recall a payment if the bank is given the wrong bank account details and the payment is made to a wrong person, who has now absconded with the funds: see again *Tidal Energy Ltd v. Bank of Scotland Plc* (*Supra*). This is certainly the position where the Clearing House Automated Payment System (CHAPS) is used. The payment instruction cannot be revoked unless it involves a mistaken payment as defined by CHAPS rules. If Bankers' Automated Clearing Services (BACS) is used, there is scope to revoke the instruction where the payer's bank communicates this to the payee's bank by 3.30pm on the second clearing/banking day.

Further, you will recall that acceptance by the payee is critical to a payment transaction. Well, since we have established that the payer's bank is an agent for the payer, it stands to reason that the payee's bank is also the payee's agent in respect of receiving payment by funds transfer. But it is important to note that such acceptance by the payee's bank is limited to the funds transfer and does not apply to the discharge of the underlying money obligation that gave rise to the payment obligation. In other words, the payee, despite acceptance by its bank, does not need to accept the payment.

The final question is: *How is a payment by funds transfer effected?* In this regard, it is important to appreciate that there are a number of what are known as 'clearing systems' by which a fund transfer may be effected. However, there will be no clearing process involved in funds transfer where both the payer and the payee are using the same bank (in this context, there can be no recall of a payment instruction once the bank recognizes the payee as its creditor in respect of the amount transferred by the payer). It is also crucial to note that all that happens in a funds transfer transaction is simply a series of debits and credits in the payer's and payee's bank account; no money actually passes from the paying bank (payer's bank) to the receiving bank (payee's bank) or through a clearing system: see again *Foskett v. McKeown* (*Supra*). The instruction and resultant adjustment of balances is effected through the clearing system. The popular systems for domestic payments are BACS and CHAPS. Typically, in these systems, the Bank of England is the intermediary and the fulfilment of the payment instructions will result in a concomitant debit and credit of the paying and receiving banks' accounts at the Bank of England. The timing of payment is key: CHAPS payment facilitates same day payment or credit to the payee's account; BACS payment facilitates actual payment or credit to the payee's account by the third clearing day, the first day being the day the payment instruction was transmitted to BACS (a 9pm deadline applies). BACS is however useful for regular and bulk payments such as salaries, and less risky for the payee's bank, as it first requires the payee's bank to have been paid by the payer's bank on the second clearing day before the payee's bank unconditionally accepts the payee as its creditor in respect of the amount transferred.

3.1.4 Electronic Money Payments: Differentiation to Physical Money

We now conclude our discussion of e-money by summarizing some of the characteristics which distinguish it from physical money, discussed in 3.1.1 above.

a. It is not legal tender/a universal medium of exchange. However, electronic money is backed by physical money or fiat. This distinguishes electronic money from other intangible forms of payment such as cryptocurrency.
b. It is not negotiable. However, a proprietary claim to intangible money is defeated where the defendant has acquired title as a bona fide purchaser for value without notice of the claimant's rights. This is not because intangible money is negotiable. Rather, it has been suggested that this is the position because the recipient has not been unjustly enriched by such monies. See E McKendrick, *Goode on Commercial Law* (5th edn, Penguin 2017), 17.22.
c. Electronic money transferred through bank accounts is based on debits and credits in the banking system which do not involve transfer of overriding title to the recipient. The monies in the bank account belong to the bank, while the bank account is a thing in action that enables the customer to maintain a claim for repayment of the monies in the account against the bank.
d. While physical money is not bought or exchanged, electronic money may be exchanged for physical money. This is a further point of distinction from cryptocurrency.

A payment by funds transfer is completed once the payee is unconditionally accepted by the payee's bank as its creditor in respect of the amount transferred.

You should now be able to identify key differences between physical money and electronic money, as well as how they are typically used to effect payments in commercial transactions

3.2 Documentary Payments in Domestic Commercial Transactions

We close out this chapter with a cursory discussion of documentary payments. These are payment methods embodied in legal documents that we call 'instruments'. In law, instruments would generally be documents in writing that define rights, duties, benefits and liabilities of parties. In commercial law, the term instrument would normally mean an unconditional *promise* or *order* in writing to pay a fixed amount of money. Our discussion here is largely concerned with 'negotiable instruments', in particular bills of exchange. Students will note from our discussion of electronic money that other methods of payment have been on the decline due to the emergence of electronic payments. This is also true of documentary payments. Nevertheless, negotiable instruments as a documentary form of payment remain relevant in high-value domestic transactions and have a particular role to play in international sale of goods. But first, it is apposite to tease out the implication(s) of an instrument being negotiable.

Such instrument or document may be transferred by delivery alone or by delivery and indorsement (signing on the back of the document): s.31 of the Bills of Exchange Act 1882. This is sufficient to pass legal title to the rights encapsulated in the document without any

other process (for example, there is no need to give notice as with things in action under s.136 of the Law of Property Act 1925). Crucially, a bona fide transferee of a negotiable instrument who gives value takes their title free from defects in the title of the transferor. It would therefore be irrelevant that the transferor of such instrument had no legitimate title, thus constituting a further exception to the *nemo dat rule*. See again *Miller v. Race*.

Our definition of instruments in commercial law should help you to appreciate that instruments in this context take the form of either a *promise to pay* or an *order to pay*. So, where A buys goods worth £50,000 from B on 1 January 2021 and tenders an instrument to B stating 'I promise to pay B or its order the sum of £50,000 only on 1 January 2023', the instrument is called a promissory note because it is a promise to pay another an ascertainable sum of money on a fixed date: see s.83 of the Bills of Exchange Act 1882; *Claydon v. Bradley* [1987]. The promissory note is manifestly a negotiable instrument as B may transfer the document to C in exchange for £40,000 on 1 December 2021. C may then pursue A for the full £50,000 on 1 January 2023 regardless of any dispute between A and B on the substantive sale of goods contract between them, provided C acted in good faith without notice of the issues giving rise to disputes that may affect payment by A at the time of purchasing the instrument.

The primary focus of our discussion is the bill of exchange that is an order to pay money to the payee. Thus the most common example of an 'order bill of exchange' is a *cheque*, which is an order directed to a bank and is payable on demand (once the holder or bearer of the cheque presents it to the bank for payment). See s.73 of the Bills of Exchange Act 1882.

An example of a promise to pay is a promissory note. An example of an order to pay is a cheque. Both are bills of exchange governed by the Bills of Exchange Act 1882.

KEY STATUTORY PROVISIONS
BILLS OF EXCHANGE ACT 1882, S.3

(1) A bill of exchange is an unconditional order in writing, addressed by one person to another, signed by the person giving it, requiring the person to whom it is addressed to pay on demand or at a fixed or determinable future time a sum certain in money to or to the order of a specified person, or to bearer.

(2) An instrument which does not comply with these conditions, or which orders any act to be done in addition to the payment of money, is not a bill of exchange.

(3) ...

(4) A bill is not invalid by reason—

(a) That it is not dated;

(b) That it does not specify the value given, or that any value has been given therefor;

(c) That it does not specify the place where it is drawn or the place where it is payable.

From the statutory description of a bill of exchange above, it is plainly obvious that this form of payment would involve three parties: (a) the person addressing and signing the bill

who gives the order to pay (the drawer/payer/debtor); (b) the person to whom the order is given/the bill is addressed (the drawee – if a cheque, the bank is the drawee); and the person specified on the bill whom the drawer wants to pay (the payee/bearer/creditor). Section 3 of the Act, when read in conjunction with other provisions in the Act, also reveals some key 'formal requirements' for the validity of a bill of exchange. These include:

a. *Unconditional order*: This relates to the instruction that is given to the drawee/bank. Thus, while the instruction to the bank should be unconditional, the drawer/payer can impose conditions on the payee without compromising the validity of the instrument as a bill of exchange. See *Roberts & Co v. Marsh* [1915] 1 KB 42 (CA); *Hong Kong and Shanghai Banking Corp Ltd v. GD Trade Co Ltd* [1998] CLC 238.
b. *In writing*: The essence of a bill of exchange is that the order/instruction to make a payment on behalf of the payer is embodied in a written document.
c. *Signed by the person giving it*: This is quite nebulous as there is no statutory guide to what amounts to signing within the Act. On the face of it, it would seem that an electronic signature is insufficient due to the writing requirement. However, there is some suggestion that EU Regulation No 910/2014 on identification and trust services for electronic transactions in the internal market should make e-signatures sufficient for this purpose. Article 25 of that regulation states that 'A qualified electronic signature shall have the equivalent legal effect of a handwritten signature'.
d. *Formal irregularities*: While the bill of exchange is quite formalistic in nature, s.3(4) of the Act ensures that the validity of a bill is not defeated on mere technicalities such as lack of date or consideration. That said, in reality, many payees would return a bill that is not properly written by the drawer. In any case, s.20 of the Bills of Exchange Act 1882 provides that a bill which is inchoate or suffers from formal/material irregularity can be rectified by the person in possession of it and such rectification will bind parties to the inchoate instrument if it is completed within a reasonable time and strictly in accordance with the authority given. These caveats (reasonable time and authority) on the validity of an inchoate bill will not apply to the transferee of the bill who acquires it in good faith for value after it has been completed (the 'holder in due course'): see s.20(2) of the Bills of Exchange Act 1882. See also s.29 for the definition of the holder in due course.
e. *Fraud/illegality/vitiating factors*: the title of a person who negotiates a bill is defective when s/he obtained the bill by fraud, duress or force and fear, or other unlawful means, or an illegal consideration, or when s/he negotiates it in breach of faith, or under such circumstances as amount to a fraud: see s.29(2) of the Bills of Exchange Act 1882. Such *defect in title* of the holder may be a defence for a person who is liable under the bill (such as a drawer or indorser: see point 'g' below). However, it would appear that s.38(2) of the Act enables the holder in due course to enforce a bill regardless of the existence of such defect in title.
f. *Negotiability*: this is a critical element of bills of exchange as it underpins their essence in and value to commercial transactions. We have already seen that a bill of exchange is negotiable as it may be transferred by delivery alone or by delivery and indorsement

(s.31 of the Bills of Exchange Act 1882). There are three issues here that warrant further consideration:

i. *Discounting of bills*: the facility of negotiability and transferability of bills such as cheques promotes the free flow of commerce. It enables the payee of a cheque to unleash much of the financial value of the cheque at a time when the cheque has not reached maturity or is due to be honoured by the bank. Let us say A sells B goods worth £50,000 on 1 November 2021. B makes the payment to A by cheque, which is post-dated and due by 31 January 2022. Should A be struggling for cash-flow and where there are no restrictions on the cheque, A could sell (by delivery and indorsement) the cheque to a financier or discounter, C, at a discount – say, £47,000. C may then later present the cheque to the drawee for payment at the point of maturity. This process is similar to receivables financing/assignment of debt, which we discussed in our chapters on sources of finance in commercial transactions.

ii. *Non-negotiability/transferability*: Some bills, however, might not be negotiable or transferable. The drawer of a cheque could render it non-transferrable by crossing it with the words 'account payee' or 'a/c payee', either with or without the word 'only': see s.81A of the Bills of Exchange Act 1882. Such bill is enforceable by the payee only and is valid between the parties: see s.8(1) of the Bills of Exchange Act 1882. On the other hand, where a person takes a crossed cheque which bears on it the words 'not negotiable', s/he shall not have and shall not be capable of giving a better title to the cheque than that which the person from whom he took it had. In other words, such a cheque is transferable, but is not negotiable in the sense that the transferee does not take the bill free of any defects in their transferor's title and, therefore, cannot pass on a title that is better than that held by the transferor: see s.81 of the Bills of Exchange Act 1882.

iii. *Order bills vs bearer bills*: An order bill is one where in the payee is named or, at least, indicated with reasonable certainty. Otherwise, it is a bearer bill. A bill payable to bearer is negotiated by delivery, while a bill payable to order is negotiated by the indorsement of the holder and completed by delivery. Where the payee that is named in an order bill is a fictitious or non-existing person, the bill may be treated as payable to bearer and, therefore, transferrable by delivery alone without the requirement of indorsement. This was certainly the position in *Clutton v. Attenborough & Son* [1897] AC 90 (HL). For the statutory provisions on this point, see ss.7, 8 and 31 of the Bills of Exchange Act 1882.

g. *Liability under a bill*: Section 54 of the Act binds the acceptor of a bill (usually a draweee) to a promise to pay on the bill, estopping him from setting up certain facts against the drawer and payee to escape liability. Section 55(1) of the Act places the drawer of a bill of exchange under a promise that the bill will be paid/honoured in accordance with its terms and, if dishonoured, that s/he will compensate the holder or any indorser who is forced to pay. Section 55(2) also sets out the liability of an indorser (if an order bill, or if a bearer bill but the transferor chooses to indorse: s.58(2)). The drawer or indorser could, however, exclude liability by expressly stating that the bill is

without recourse to himself under s.16 of the Act. Since only signatories to the bill can be liable on it (s.23), the drawee will not be liable on the bill until they have accepted it. This leads us to another defence. The person liable on a bill may also raise a *defence of nullity*. For example, where a signature on a bill is forged or unauthorized, the forgery will be inoperative and cannot give rise to liability or a valid title (s.24). Indeed, it is worth noting for the purpose of international commercial transactions that, in certain jurisdictions, it would constitute a crime – in appropriate contexts – to issue a cheque that will be dishonoured (dud or bounced cheques). For example, issuing fraudulent or counterfeit cheques might lead to criminal liability for fraud by false representation under s.2 of the Fraud Act 2006.

Other defences of nullity would include lack of capacity, making such person (not others) not liable on the bill (s.22) and material alteration of the bill without the assent of all persons liable on it (s.64). It goes without saying that the bill, being discharged (that is, where it is presented on maturity by the holder and it is accepted and paid by the drawee/acceptor), can no longer give rise to liability on any party since it has no further legal effect. Sections 59–64 of the Act set out circumstances in which a bill may be discharged.

In the context of forgery, two exceptions to invalidity of the bill should be noted: (i) where the indorsee becomes a party after the forgery, they are estopped from denying the validity of the bill as against the holder in due course (s.55); and (ii) a person whose signature has been forged but who fails to raise the forgery or makes a contrary representation that has now been relied upon to by another party could be estopped from raising the forgery: see *Greenwood v. Martins Bank Limited* [1933] AC 51 (HL).

Hierarchy of Liability on a Bill of Exchange

The drawee/Acceptor – the primary Obligor

The drawer/Payer

Any other Indorsers

The holder/Payee

The holder of a bill can send a notice of dishonour of the bill to any of the persons above him in the hierarchy of liability and claim compensation against any of these persons, who in turn have a claim for compensation against any person above them in the hierarchy.

On the continued role of cheques in commercial transactions and amendments to the Bills of Exchange Act (introducing electronic processing), students may consult S Booysen, 'Cheques: To Be or Not to Be?' (2018) 4 *Journal of Business Law* 283–99.

✓ **You should now understand the legal nature, implications and value of bills of exchange to domestic commercial transactions**